



Market Monitor

No.29 – June 2015

www.amis-outlook.org

*The **Market Monitor** is a product of the [Agricultural Market Information System \(AMIS\)](http://www.amis-outlook.org). It covers the international markets for wheat, maize, rice and soybeans, giving a synopsis of major market developments and the policy and other market drivers behind them. The analysis is a collective assessment of the market situation and outlook by the ten international organizations that form the AMIS Secretariat. Ultimately, the report aims at improving market transparency and detecting emerging problems that might warrant the attention of policy makers.*

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World Supply-Demand Outlook

The supply outlook for all AMIS crops has improved since the previous month on account of higher production forecasts and inventory volumes. Against this backdrop, international prices of wheat, maize, rice and soybeans remain under downward pressure. However, the strengthening of El Niño conditions calls for a close monitoring of crops to be harvested during the second half of this year.

For wheat, maize and rice, previous season refers to 2014/15.

For soybeans, previous season refers to 2013/14.

	From previous f'cast	From previous season
Wheat	▲	■
Maize	▲	▼
Rice	▲	▼
Soybeans	▲	▲

▲ Easing ■ Neutral ▼ Tightening

million tonnes

WHEAT	USDA		IGC		FAO-AMIS		
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16	
	est.	f'cast 12-May	est.	f'cast 28-May	est.	f'cast 7-May	f'cast 4-Jun
Production	726	719	721	715	729	719	723
Supply	916	920	910	915	919	919	922
Utilization	715	717	710	715	713	716	716
Trade	164	157	153	149	154	151	150
Ending Stocks	201	203	200	200	199	199	201

- **Wheat** production in 2015 adjusted upwards by 4 million tonnes m/m on larger anticipated harvests in North Africa and North America.
- Utilization in 2015/16 unchanged from the previous month with a rise in food consumption being the main reason for the projected y/y increase.
- Trade in 2015/16 (July/June) to contract more than forecast last month, mostly on smaller imports by Brazil, Turkey and Morocco.
- Stocks (ending in 2016) to increase slightly, reaching a 13-year high, on larger inventories in the EU and the United States.

MAIZE	USDA		IGC		FAO-AMIS		
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16	
	est.	f'cast 12-May	est.	f'cast 28-May	est.	f'cast 7-May	f'cast 4-Jun
Production	996	990	997	961	1026	995	1002
Supply	1170	1182	1173	1162	1216	1217	1226
Utilization	977	990	973	974	983	997	1000
Trade	121	121	119	120	117	117	118
Ending Stocks	193	192	201	187	224	217	219

- **Maize** production in 2015 up 7 million tonnes m/m, reflecting improved crop prospects in China and Mexico.
- Utilization in 2015/16 higher than anticipated last month, supported by a faster rise in feed use in China and Brazil.
- Trade in 2015/16 (July/June) to exceed the 2014/15 level mostly on larger imports by the EU.
- Stocks (ending in 2016) likely to decline despite an upward adjustment of this month's forecast mostly due to an increased forecast for ending stocks in China.

RICE (milled)	USDA		IGC		FAO-AMIS		
	2014/15	2015/16	2014/15	2015/16	2014/15	2015/16	
	est.	f'cast 12-May	est.	f'cast 28-May	est.	f'cast 7-May	f'cast 4-Jun
Production	476	482	476	482	494	500	501
Supply	583	581	587	585	676	676	677
Utilization	485	489	484	489	500	508	509
Trade	43.7	42.4	41.9	41.6	41.5	42.4	42.5
Ending Stocks	98	92	103	97	177	168	169

- **Rice** production in 2015 scaled up slightly, on improved prospects for China and western African countries.
- Utilization in 2015/16 to expand by 1.8 percent, with food consumption rising sufficiently to keep rice per caput food intake stable around 57.4 kg per year.
- Trade in rice in 2016 to recover, dependent, however, on a normal unfolding of the 2015 season, in India in particular.
- Stocks (ending in 2016) predicted to fall by 4.5 percent, or 8 million tonnes, with much of the drawdown concentrated in India and Thailand.

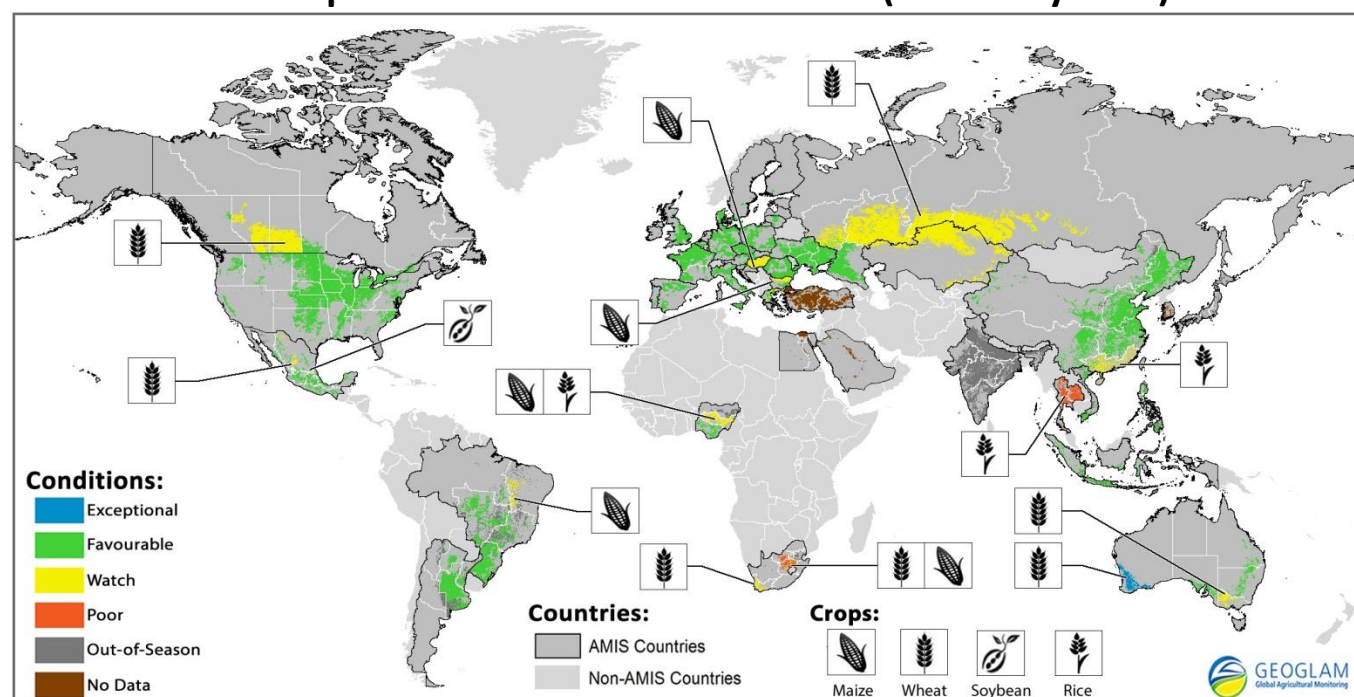
SOYBEANS	USDA		IGC		FAO-AMIS		
	2014/15	2015/16	2014/15	2015/16	2013/14	2014/15	
	est.	f'cast 12-May	est.	f'cast 28-May	est.	f'cast 7-May	f'cast 4-Jun
Production	317	317	320	316	284	316	318
Supply	381	403	350	364	311	348	350
Utilization	292	304	303	312	280	300	300
Trade	118	122	118	123	114	119	119
Ending Stocks	86	96	48	52	32	48	49

- **Soybean** production for 2014/15 upgraded on higher than anticipated outputs in Argentina and Brazil.
- Utilization set to expand by 7 percent y/y, mainly driven by expansions in Argentina, Brazil and China.
- Trade estimate lowered marginally since last month, reflecting downward adjustments in China and the United States.
- Stocks (2014/15 carry-out) higher than anticipated earlier on larger inventories in Argentina only partially offset by lower carryovers in the United States.

Estimates and forecasts may differ across sources for many reasons, including different methodologies. All changes, in absolute or percentage terms, reported in the supply/demand commentaries are calculated based on unrounded figures. For more information see the last page of this report.

Crop Monitor

Crop Conditions in AMIS countries (as of May 28th)



Crop condition map synthesizing information for all four AMIS crops as of May 28th. Crop conditions over the main growing areas for wheat, maize, rice, and soybean are based on a combination of national and regional crop analyst inputs along with earth observation data. **Crops that are in other than favourable conditions are displayed on the map with their crop symbol.**

Highlights

Wheat- In the northern hemisphere, overall conditions remain favourable. In the EU, winter wheat conditions are generally good. In the US conditions have improved for winter wheat, and are favourable for both spring and winter wheat. In China, conditions are mostly favourable for winter and spring wheat though there is some concern over dry weather. In the Russian Federation, winter wheat conditions have improved and are mostly favourable. There is some concern over spring wheat as planting is delayed due to wet weather. In Canada, conditions are generally favourable for winter and spring wheat, though there is developing concern due to lack of rain over main spring wheat growing regions. In India, end of season conditions were favourable. In Ukraine, conditions are generally favourable. In Kazakhstan and Mexico, conditions are mixed. In the southern hemisphere, planting is progressing. In Australia conditions are generally favourable however there is some concern over dryness in parts of the southeast growing regions. In Brazil, conditions are favourable and in South Africa, conditions are mixed.

Maize- In the southern hemisphere, conditions continue to be generally favourable as the season draws to a close. In Brazil conditions are favourable and in Argentina, conditions are generally good. In South Africa, harvest is progressing and below-normal yields are expected for both white and yellow maize. In the northern hemisphere, conditions are favourable at this early stage of the season. In the US and EU planting is generally complete and conditions are favourable. In China, conditions are favourable for the spring and summer crops. In Ukraine, the Russian Federation, Canada, and Mexico, conditions are favourable. In Nigeria, conditions are mixed.

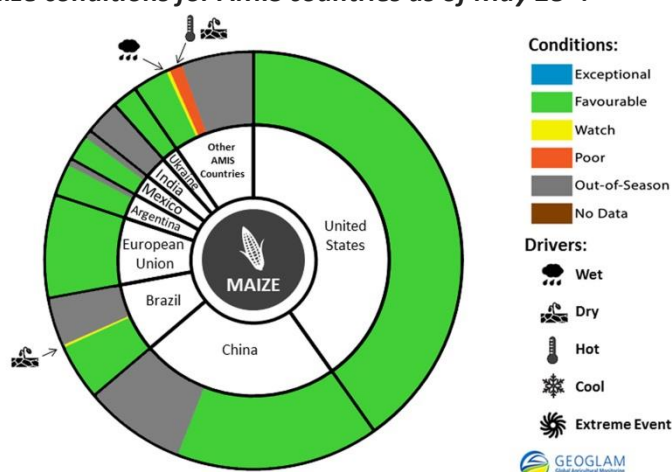
Rice- Conditions remain mixed. In India and Brazil, harvest is complete and end of season conditions are favourable. In China, conditions are mostly favourable however there is concern due to excessive wetness in the south. In Thailand, conditions remain poor for the dry season rice and field preparation for the wet season crop is underway. In Viet Nam, in the north, the winter-spring (dry season) crop is in good condition and in the south, conditions are fair. In the US and Argentina, conditions are favourable. In Indonesia, conditions for the wet season rice remain good. In the Philippines, planting of the wet season crop has begun. Harvest has concluded for the dry season rice and conditions are slightly poor. In Nigeria, conditions are mixed. There is some concern over the first crop due to poorly distributed rainfall in the central region.

Soybeans- In the southern hemisphere, conditions remain good as the season closes. In Argentina conditions are favourable and in Brazil a record crop has been harvested owing to both increased yields and an expansion in area. In the northern hemisphere, conditions are favourable at the start of the season. In the US, conditions are favourable. In Mexico, planting has begun for the spring-summer cycle in the north region. However, excess humidity has slightly delayed planting. In Canada conditions are favourable though there were some planting delays.

El Niño conditions continue to strengthen in the equatorial Pacific and there is a higher than 80 percent chance they will persist through the end of 2015, according to statements from the Australian Bureau of Meteorology, the International Research Institute for Climate and Society (IRI), and the U.S. National Oceanic and Atmospheric Administration. Forecast maps published by the IRI and the European Centre for Medium Range Weather Forecasting depict a high probability of below average precipitation for Indonesia through September, and above average chances of dry weather in India and above average rainfall in the central United States. GEOGLAM will closely watch AMIS regions that have shown sensitivity to El Niño in the past for possible impacts.

Wheat In the *northern hemisphere*, overall conditions remain favourable. In the **EU**, winter wheat conditions are generally good, however, there are two areas of concern, mainly due to water scarcity, in southern Spain and in southern Italy. In the **US**, winter wheat conditions in the US Great Plains have improved somewhat owing to recent rains that have helped ease the long-term drought. Spring wheat is nearly all planted across the Northern Tier and is in favourable condition. In **China**, wheat conditions are generally favourable. Spring wheat, in main producing area, is in early vegetative stages and winter wheat is in grain-filling (North China) to maturity stages (southwest of China). Due to insufficient precipitation there is some concern that yields maybe slightly reduced. In the **Russian Federation**, winter wheat conditions are mostly favourable with improved moisture supplies, though some areas were reseeded due to the dry conditions during the fall establishment. In some of the spring wheat regions, heavy rainfall and low temperatures in the beginning of the month are causing crop development delays. In **Canada**, conditions are favourable for winter wheat, which has fully emerged after dormancy. The spring crop conditions are generally favourable, however, there is increasing concern due to a lack of spring precipitation in Alberta and Saskatchewan—the major spring wheat producing regions in Canada—which has led to drier-than-normal conditions. In **India**, harvest is complete and end of season conditions were favourable. In **Ukraine**, conditions are generally favourable and harvest is expected to be above average despite some dry conditions in southern and south-eastern regions. In **Kazakhstan**, conditions are mixed. Spring wheat planting is going extremely slowly due to persistent wet conditions in the north-central region (the main spring-wheat zone). In **Mexico** harvest is almost complete in the northwest region and yields are lower than expected due to lack of cool weather and atypical rainfall. In the Northern region, excess humidity has partially limited quality. In the *southern hemisphere*, planting is progressing. In **Australia**, conditions are generally favourable for planting and crop germination. In Western Australia, conditions are exceptional owing to ample March and April rainfall, however there is some concern over dryness in Victoria and parts of northern New South Wales, which is limiting planting opportunities. In **Brazil**, conditions are favourable at this early stage of the season and the crop is between planting to early vegetative stages. It is expected that area will be down compared to last season. In **South Africa**, planting has begun in the winter rainfall region (main production area) and conditions are mixed due to a slow start to the rainy season, which has prevented emergence. However, widespread rain is possible in the next few days and may have a large positive impact.

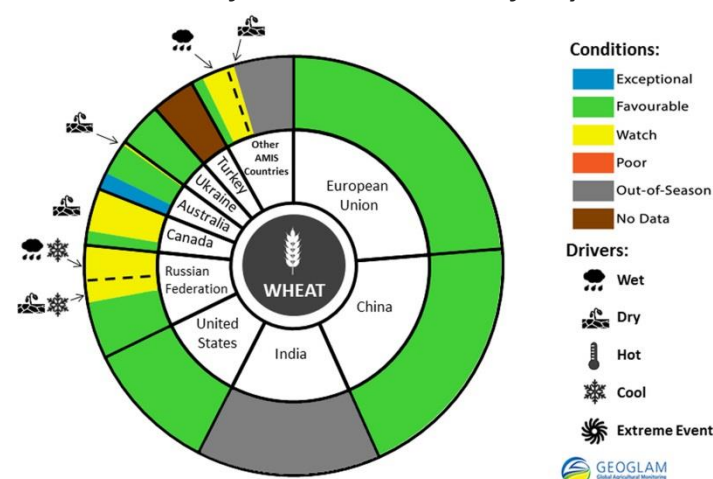
Maize conditions for AMIS countries as of May 28th.



For detailed description of the pie chart please see box on page 4.

generally favourable for the spring-planted crop and planting conditions are good for the summer crop, which will be planted in early June. In **Ukraine**, planting is almost complete and conditions are favourable. In the **EU**, planting is complete and conditions are favourable in most countries. However there are some concerns about the emergence of the crop in Greece and Hungary due to the dry conditions, and there were considerable delays in Bulgaria due to high levels of precipitation. In **Mexico**, conditions are favourable for the autumn-planted crop is in progress. Planting of the spring-planted crop has started and will accelerate as soon as the rainy season is formally established. In the **Russian Federation**, planting is almost complete and conditions are favourable. In **Canada**, conditions are favourable. Planting is almost complete though there are some delays in the eastern region. In **Nigeria**, conditions are mixed owing to poorly distributed rainfall conditions in the central region.

Wheat conditions for AMIS countries as of May 28th.

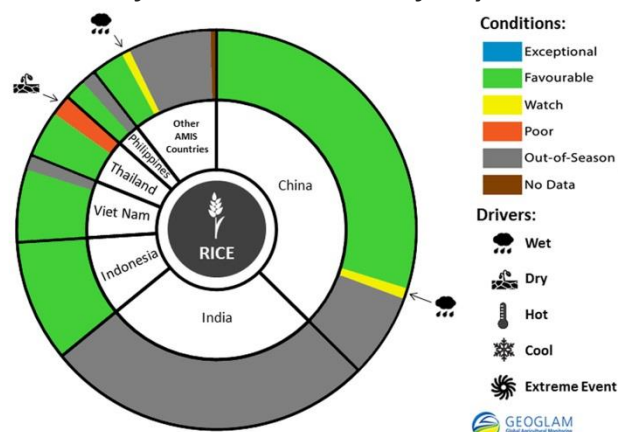


For detailed description of the pie chart please see box on page 4.

Maize In the *southern hemisphere*, conditions continue to be generally favourable. In **Brazil**, conditions are favourable. Overall planted area is down relative to last year due to competition with soybeans, which are more profitable. Harvest is complete for the spring-planted crop (lesser producing season) and the summer-planted crop (higher producing season) is in reproductive stages, and conditions remain favourable. In **Argentina**, conditions are generally good. Harvest is progressing normally owing to good weather conditions. In **South Africa**, harvest is progressing and below-normal yields are expected for both white and yellow maize as a result of hot and dry conditions during the first half of February. In the *northern hemisphere*, conditions are favourable. In the **US**, planting is nearly complete and conditions are favourable with no notable issues throughout the Corn Belt. In **China**, conditions are

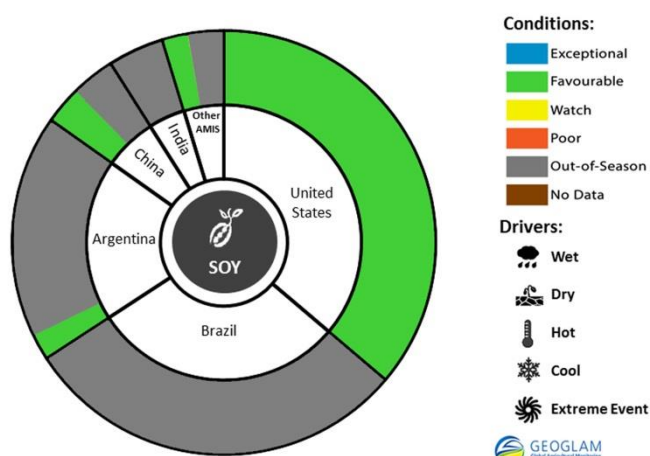
Rice conditions remain mixed. In **India**, harvest is complete and end of season conditions are favourable for the second season crop. In **China**, single rice in Northeast China is at seedling stage, while early rice in southeast China is mostly at transplanting stage. There is some concern in the south due to the continuous rainfall, which is hampering early rice development. In **Thailand**, conditions remain poor for the dry season rice. Harvest is almost complete and production is expected to be considerably less than last year, mainly due to insufficient water for cultivation that resulted in reduced planted area and poor yield as well as due to pest damage and cold weather. Field preparation for the wet season crop is underway. In **Viet Nam**, in the north, the winter-spring (dry season) crop is in panicle forming to heading stages and is in good condition owing to favourable weather and adequate sunshine. In the south, harvest is almost complete for the winter-spring crop. Conditions are fair despite some lack of precipitation and yields are slightly down relative to the previous year. In the **US**, the crop is proceeding favourably. In **Indonesia**, conditions for the wet season rice remain good due to favourable sunlight and sufficient water availability. The crop is in vegetative to maturity stages. In **Brazil**, harvest is complete. Even though planted area was slightly reduced, production increased relative to last year owing to increased yields. In the **Philippines**, planting of the wet season crop has begun in irrigated areas. Harvest has concluded for the dry season rice and conditions are slightly poor due to intense heat and insufficient water. In **Argentina**, harvest is almost complete and conditions are favourable. In **Nigeria**, conditions are mixed. There is some concern over the first crop due to poorly distributed rainfall in the central region and the second crop is in favourable condition

Rice conditions for AMIS countries as of May 28th.



For detailed description of the pie chart please see box below.

Soy Conditions for AMIS countries as of May 28th.



For detailed description of the pie chart please see box below.

be regularized in the next few months, mainly in north-eastern regions. In **Canada**, conditions are favourable and planting is nearly complete, though has been delayed in the eastern growing region.

Pie chart description: Each slice represents a country's share of total AMIS production (5-year average). Main producing countries (representing 90 percent of production) are shown individually, with the remaining 10 percent grouped into the "Other AMIS Countries" category. The proportion within each national slice is coloured according to the crop conditions within a specific growing area; grey indicates that the respective area is out of season. Sections within each slice are weighted by the sub-national production statistics (5-year average) of the respective country. The section within each national slice also accounts for multiple cropping seasons (i.e. spring and winter wheat). When conditions are other than 'favourable', icons are added that provide information on the key climatic drivers affecting conditions.

Sources and Disclaimers: The Crop Monitor assessment is conducted by GEOGLAM with inputs from the following partners (in alphabetical order): Argentina (INTA), Asia Rice Countries (AFSIS, ASEAN+3 & Asia RiCE), Australia (ABARES & CSIRO), Brazil (CONAB & INPE), Canada (AAFC), China (CAS), EU (EC JRC MARS), Indonesia (LAPAN & MOA), International (CIMMYT, FAO, IFPRI & IRRI), Japan (JAXA), Mexico (SIAP), Russia (IKI), South Africa (ARC & GeoTerraImage & SANS), Thailand (GISTDA & OAE), Ukraine (NASU-NSAU & UHMC), USA (NASA, UMD, USGS – FEWS NET, USDA (FAS, NASS)), Viet Nam (VAST & VIMHE-MARD). The findings and conclusions in this joint multi-agency report are consensual statements from the GEOGLAM experts, and do not necessarily reflect those of the individual agencies represented by these experts. Map data sources: Major crop type areas based on the IFPRI/IIASA SPAM 2005 beta release (2013), USDA/NASS 2013 CDL, 2013 AAFC Annual Crop Inventory Map, GLAM/UMD, GLAD/UMD, Australian Land Use and Management Classification (Version 7), SIAP, ARC, and JRC. Crop calendars based on GEOGLAM partner crop calendars and USDA/FAO crop calendars.

More detailed information on the GEOGLAM crop assessments is available at www.geoglam-crop-monitor.org.

For more information regarding the new crop monitor and pie charts: <http://geoglam-crop-monitor.org/pages/about.php?target=maps-charts>

Policy Developments

WHEAT

- On May 15, the **Russian Federation** canceled the export tax on wheat exports, ahead of the scheduled date of 1 July. On May 29, the Russian Federation approved the launch of a new wheat export tax from July 1. The new tax is set at 50 percent of the customs price per tonne minus 5,500 roubles (USD 105), but not less than 50 roubles per tonne.

RICE

- On April 28, **Thailand** approved a budget of THB 476 million (USD 14 million) to support the Rice Insurance Program for 2015/16 main-crop rice. The insurance will cover the risk on natural disaster and diseases. Compared to MY 2014/15, the area under the program is expected to nearly double to 1.5 million rai (0.2 million hectares).
- Viet Nam** lowered the floor export price for the 25 percent broken rice by about 3 percent to USD 340, effective 30 April.

BIOFUELS

- Thailand** increased mandatory blending of transportation biodiesel to 7 percent, reverting to the level prior January 2015.
- On 29 May the **United States** announced proposed ethanol and biodiesel blending requirements for calendar years 2014, 2015 and 2016. The proposal also covers volume requirements for biodiesel for 2017. In the proposal, the total renewable fuel volume would increase by 9 percent over the 2014-2016 period from approximately 16 billion gallons (63.3 billion liters) to 17.4 billion gallons (65.87 billion liters). The announcement indicates that a final decision on volume standards is to be made by November 30th.

ACROSS THE BOARD

- On 24 April, the **European Union** granted authorization for the placing onto markets of foods and feed containing or produced from ten varieties of genetically modified crops, including maize and soybeans. The authorization also covers any other uses than food and feed with the exception of cultivation.

International Prices

International Grains Council (IGC) Grains and Oilseeds Index (GOI) and GOI sub-Indices

	May 2015 Average*	% Change	
		M/M	Y/Y
GOI	195	- 2.0%	- 27.0%
Wheat	182	- 4.4%	- 28.1%
Maize	179	- 1.1%	- 26.7%
Rice	161	- 1.6%	- 9.0%
Soybeans	189	- 1.3%	- 32.0%

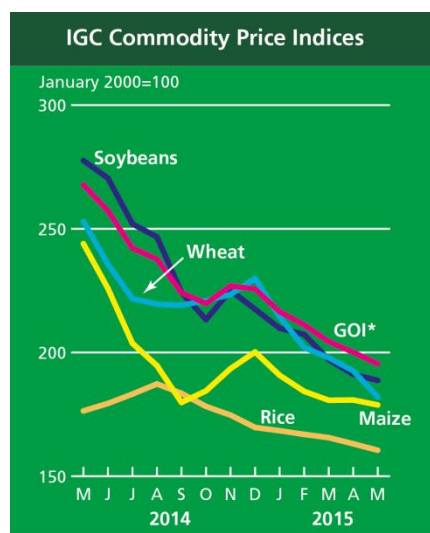
*Jan 2000=100, derived from daily export quotations

Wheat: World export prices remained under pressure in the past month. While there was a renewed focus on potential weather threats to harvests, particularly in North America, Australia and Russia, global production expectations remained generally optimistic and another season of abundant availabilities was anticipated. Despite slackening old crop buying interest, the EU remained on course for a record export volume and is set to be the world's largest exporter in 2014/15. Export duties in Russia were withdrawn earlier than scheduled. World new crop export business remained subdued, with import requirements expected to be contained by better local harvests in some regions, including in North Africa and Near East Asia. Black Sea new season export prices stayed competitive relative to other origins.

Maize: With nearby availabilities more than sufficient to satisfy spot demand, export quotations were pressured by prospects for even stiffer competition for business in the coming months. US prices were particularly weak, dropping by an average of 3 percent m/m, on rapid spring fieldwork, mostly favourable crop weather and concerns that avian influenza might curtail domestic feed needs. Despite a seasonal increase in supplies and reports of mostly very good yields from the current harvest, export prices in Argentina posted slight gains, as local labour unrest hindered transportation logistics. Traders in Brazil began to market more maize for shipment after August, with prices generally very competitive compared to other origins. In limited trading, old crop Black Sea quotations eased slightly.

Rice: Asian rice markets mostly weakened during May amid few fundamental developments. While news of a fresh tender by the Philippines' National Food Authority provided mild support, especially in Vietnam, generally limited buying interest weighed. Increasing new crop availabilities and the Thai government's announcement that, after a near-two month suspension, it plans to sell 2m tonnes old crop state reserves in June-July added to the bearish tone. Outside of Asia, US Gulf milled rice values fell on prospects for another bumper crop and ample availabilities.

Soybeans: Against the backdrop of prospects for heavy supplies, global export quotations weakened further in the past month. Although industrial action and logistical difficulties mildly underpinned at times, FOB (free on board) values in South America were pressured by rapid harvesting progress amid almost ideal conditions. USDA's bearishly-interpreted US supply and demand projections for 2015/16 – notably, an expected heavy y/y increase in end-season carryovers – added pressure, while external influences, including movements in currencies and vegetable oils, was also bearish.



		IGC commodity price indices				
		GOI*	Wheat	Maize	Rice	Soybeans
(..... January 2000 = 100))						
2014	May	267.8	253.0	244.0	176.4	277.6
	June	257.3	235.7	225.9	179.4	270.5
	July	242.2	221.8	203.7	183.2	252.0
	August	237.7	219.5	194.7	187.3	246.7
	September	224.2	219.1	179.8	183.5	224.3
	October	219.8	221.0	184.5	178.2	213.3
	November	226.9	223.4	193.5	174.7	225.1
	December	225.7	230.0	200.2	169.7	217.5
	2015 January	216.5	214.4	190.8	168.4	209.8
	February	211.2	202.0	184.3	166.9	207.3
	March	204.4	197.9	180.7	165.6	197.1
	April	200.1	192.6	180.8	163.1	191.2
	May	195.4	182.0	178.8	160.5	188.7

*GOI: Grains and Oilseeds Index

Futures Markets

Futures Prices - nearby

	May 2015 Average	% Change	
		M/M	Y/Y
Wheat	180	-2.6%	-27.6%
Maize	141	-4.1%	-26.5%
Rice	211	-6.8%	-37.6%
Soybeans	355	-0.7%	-35.0%

Source: CME – USD per tonne

Historical Volatility – 30 Days, nearby

	Monthly Averages		
	May 2015	Apr 2015	May 2014
Wheat	30.3%	34.9%	25.7%
Maize	17.2%	23.5%	20.4%
Rice	20.7%	22.0%	10.1%
Soybeans	13.8%	14.9%	21.0%

Futures Prices

Maize, soybeans and rice futures continued to weaken m/m, sustaining a downward trend since the start of 2015. Maize and soybeans fell as US planting proceeded on schedule and markets anticipated larger South American soybean supplies with the closing of harvests. The maize market saw further pressure from reports of China switching from maize imports to barley, sorghum and distillers dried grains (a feed by-product of ethanol manufacture). Wheat prices, conversely, rallied for most of May as heavy rains drenched the US southern plains, but fell at month end. Overall, wheat, maize and soybean prices were down y/y 28 percent, 27 percent and 35 percent respectively.

Volumes and Volatility

Volumes fell m/m between 14 and 27 percent for maize, wheat and soybeans but remained higher y/y for all three commodities. Historical Volatility was mostly unchanged at subdued levels for maize and soybeans – 17 and 14 respectively, while slightly elevated at around 30 for wheat.

Forward curves

Forward curves for wheat and maize maintained their mostly upward sloping structures (contango). The price structure for soybeans sustained its inversion (backwardation) between old crop and new crop (the July and November contracts) as producers held off selling during the continued futures price decline and forced processors to pay premiums to futures prices for spot cash purchases in some areas.

Basis levels

Interior basis levels for wheat and maize improved modestly in some regions as freight rates declined in various transport modes in many parts of the US. Soybean basis levels rose to reflect premiums to futures prices in the processing regions.

Investment flows

Managed money added to net short futures positions in maize and soybeans, but reduced net shorts mid-month in wheat, inducing a brief “short covering” rally. Managed money maintained short positions in all 3 commodities for the last three months, departing from its normal bias toward the long side of agricultural commodities for the past decade. The soybean market experienced the most aggressive selling, as managed money net sold about 70,000 contracts since end of April and established a record net short position of 90,000 contracts (104,000 contracts 2including options), the equivalent of 12.4m tonnes. The maize market also saw additional selling as USDA projected yields along trend lines and China made a notable shift from maize imports to other feed stuffs.

Monthly US Ethanol Update

- The pace of **ethanol production** fell in May from the prior month and was below a year ago levels.
- Trade reports suggest that production fell as producers moved annual maintenance from August forward as a result of low margins in the spring, cutting supply and boosting ethanol prices.
- **Margins** have improved with rising ethanol prices on lower production and rising oil prices.
- Maize prices, DDG prices and ethanol prices fell significantly as May came to a close.
- EPA released **mandate levels** for 2014, 2015 and 2016. The market was still trying to evaluate the impact of the announcement.
- The announcement leaves room for 14 billion gallons of maize ethanol in 2016 which is below current production levels, with exports of approximately 800 million gallons annually.

Spot prices

IA, NE and IL/eastern corn belt average

May 2015*

Apr 2015

May 2014

Maize price (USD per tonne)	141.19	147.24	188.65
DDGs (USD per tonne)	190.82	201.19	240.05
Ethanol price (USD per gallon)	1.57	1.51	2.30

Nearby futures prices

CME, NYSE

Ethanol (USD per gallon)	1.61	1.59	2.24
RBOB Gasoline (USD per gallon)	2.03	1.88	2.97
Ethanol/RBOB price ratio	79.2%	84.4%	75.5%

Ethanol margins

IA, NE and IL/eastern corn belt average, USD per gallon)

Ethanol receipts	1.57	1.51	2.30
DDGs receipts	0.54	0.56	0.67
Maize costs	1.30	1.36	1.74
Other costs	0.55	0.55	0.55
Production margin	0.26	0.17	0.68

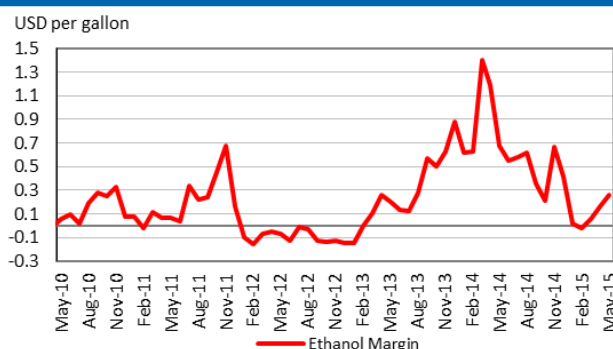
Ethanol production

(million gallons)

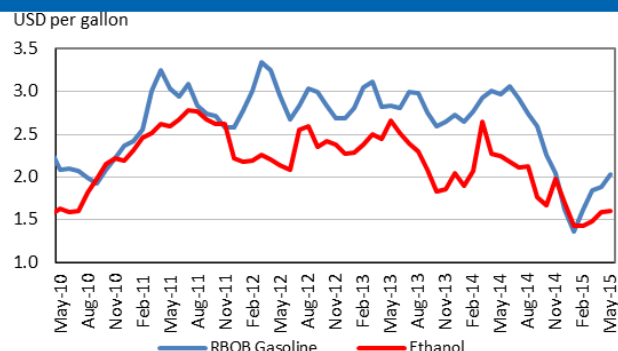
Monthly production total	1,195	1,169	1,220
Annualized production pace	14,0756	14,224	14,360

Based on USDA data and private sources. * Estimated using available weekly data to date.

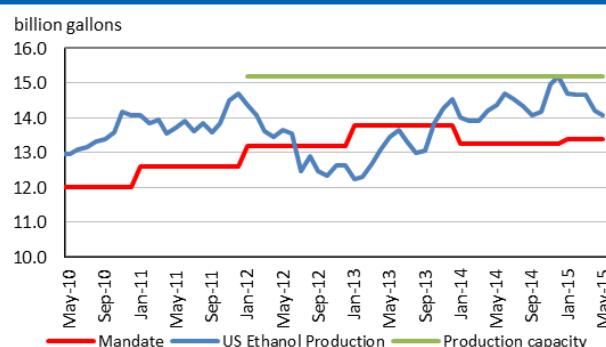
Ethanol Production Margin
(IA, NE, IL/eastern corn belt average)



Ethanol and RBOB gasoline
(nearby futures prices, CME, NYSE)



Ethanol production pace, capacity and annual mandate



Ethanol price vs. maize price
(Spot prices)

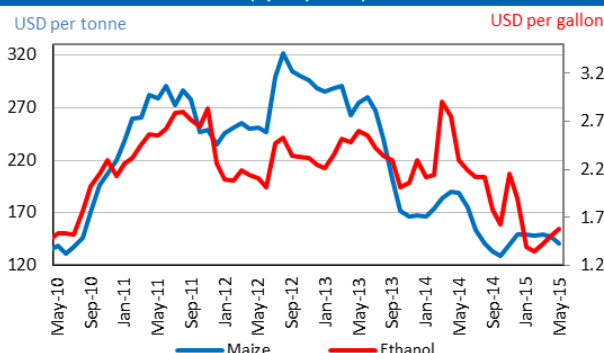


Chart and tables description:

Ethanol Production Margins: The ethanol margin gives an indication of the profitability of maize-based ethanol production in the United States. It uses current market prices for maize, Dried Distillers Grains (DDGs) and ethanol, with an additional USD 0.55 per gallon of production costs

Ethanol Production Pace, Capacity and Mandate: Overview of the volume of maize-based ethanol production in the United States; it also highlights overall production capacity and the production volume that is mandated by public legislation. Name-plate (i.e. nominal) ethanol production capacity in the US is roughly 14.9 billion gallons per annum, but plants can exceed this level, so the actual capacity is assumed to be 15.2 billion gallons.

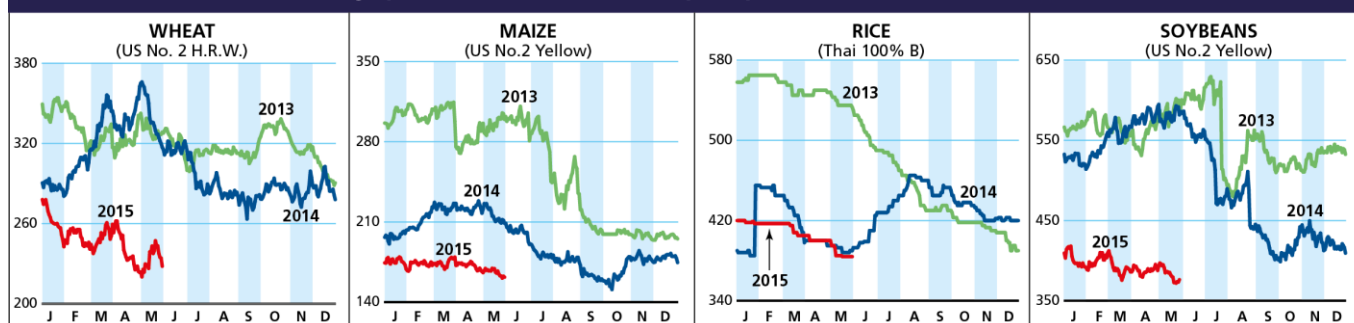
DDGs: By-product of maize-based biofuel production, commonly used as feedstuff.

RBOB: Reformulated Blendstock for Oxygenate Blending, gasoline nearby futures (NYSE).

Supplementary tables and charts

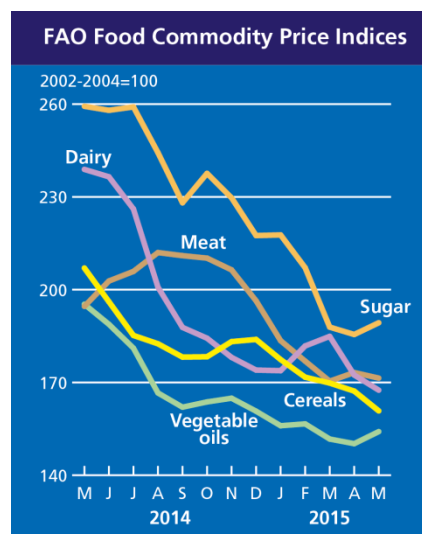
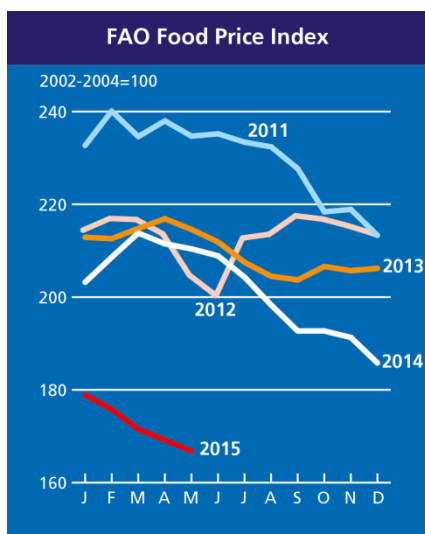
Selected Export Prices and Price Indices

Daily quotations of selected export prices (USD/tonne, 2013-2015)



Daily quotations of selected export prices

	Effective Date	Quotation (1)	Week ago (2)	Month ago (3)	Year ago (4)	% change (1) over (2)	% change (1) over (4)
(..... USD/tonne)							
Wheat (US No. 2, HRW)	01-Jun	233	243	223	316	-4.3%	-26.1%
Maize (US No. 2, Yellow)	02-Jun	164	163	166	209	1.0%	-21.3%
Rice (Thai 100% B)	02-Jun	380	384	395	393	-1.0%	-3.3%
Soybeans (US No. 2, Yellow)	01-Jun	373	373	388	586	0.2%	-36.3%



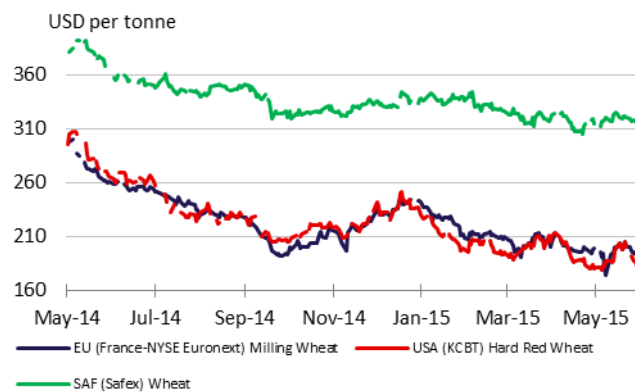
FAO food price indices

Food Price Index		Meat	Dairy	Cereals	Oils and Fats	Sugar
(..... 2002-2004 = 100)						
2014	May	210.4	194.6	238.9	207.0	259.3
	June	208.9	202.8	236.5	196.1	258.0
	July	204.3	205.9	226.1	185.2	259.1
	August	198.3	212.0	200.8	182.5	244.3
	September	192.7	211.0	187.8	178.2	228.1
	October	192.7	210.2	184.3	178.3	237.6
	November	191.3	206.4	178.1	183.2	229.7
2015	December	185.8	196.4	174.0	183.9	217.5
	January	178.9	183.5	173.8	177.4	217.7
	February	175.8	176.9	181.8	171.7	207.1
	March	171.5	170.4	184.9	169.8	187.9
	April	169.2	173.2	172.4	167.2	185.5
	May	166.8	171.4	167.5	160.8	189.3

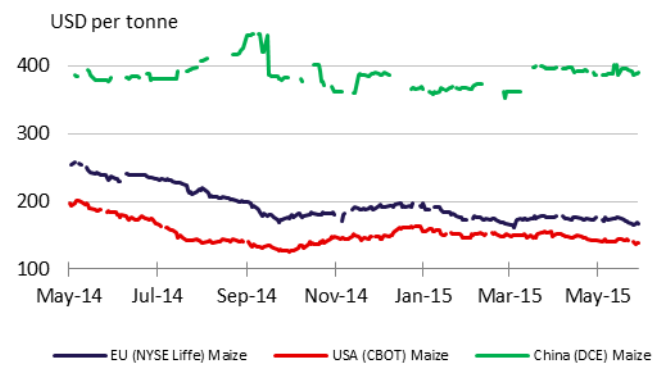
Market Indicators

Daily Quotations from Leading Exchanges - nearby futures

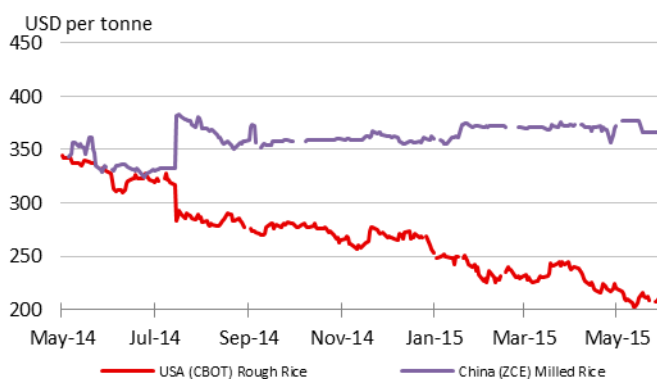
Wheat



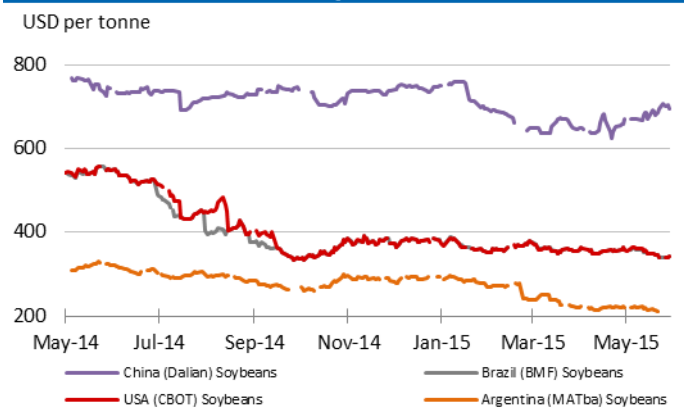
Maize



Rice

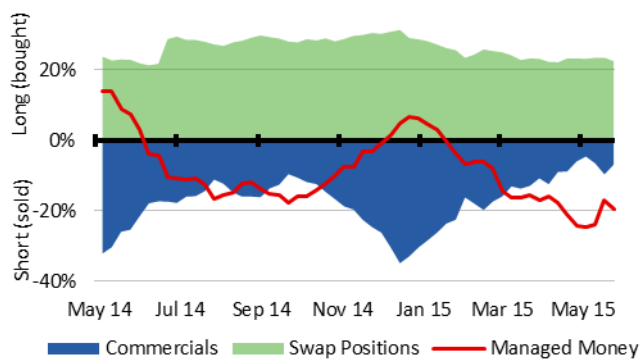


Soybeans

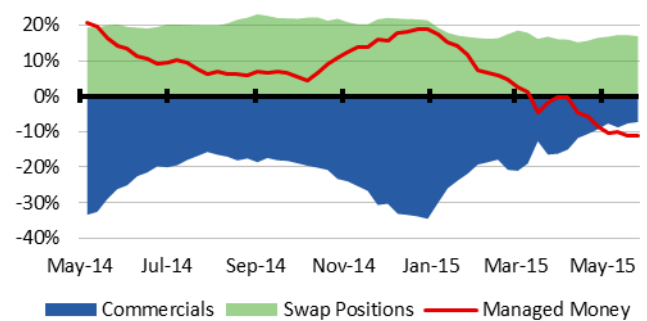


CFTC Commitment of Traders - Major Categories Net Length as percentage of Open Interest*

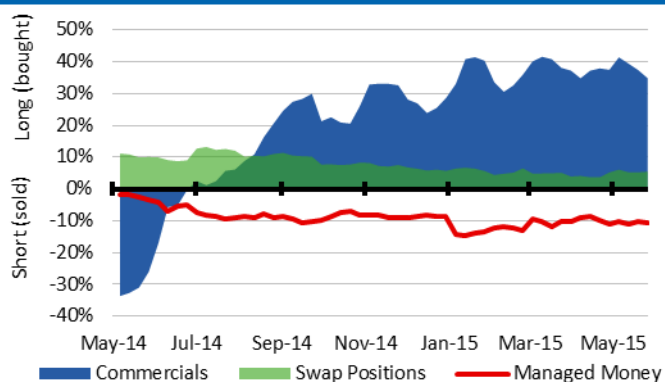
Wheat



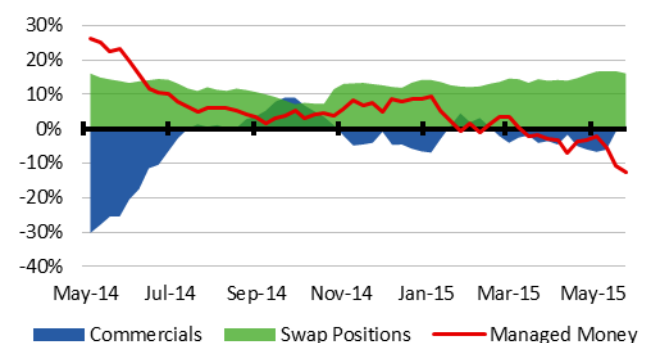
Maize



Rough Rice

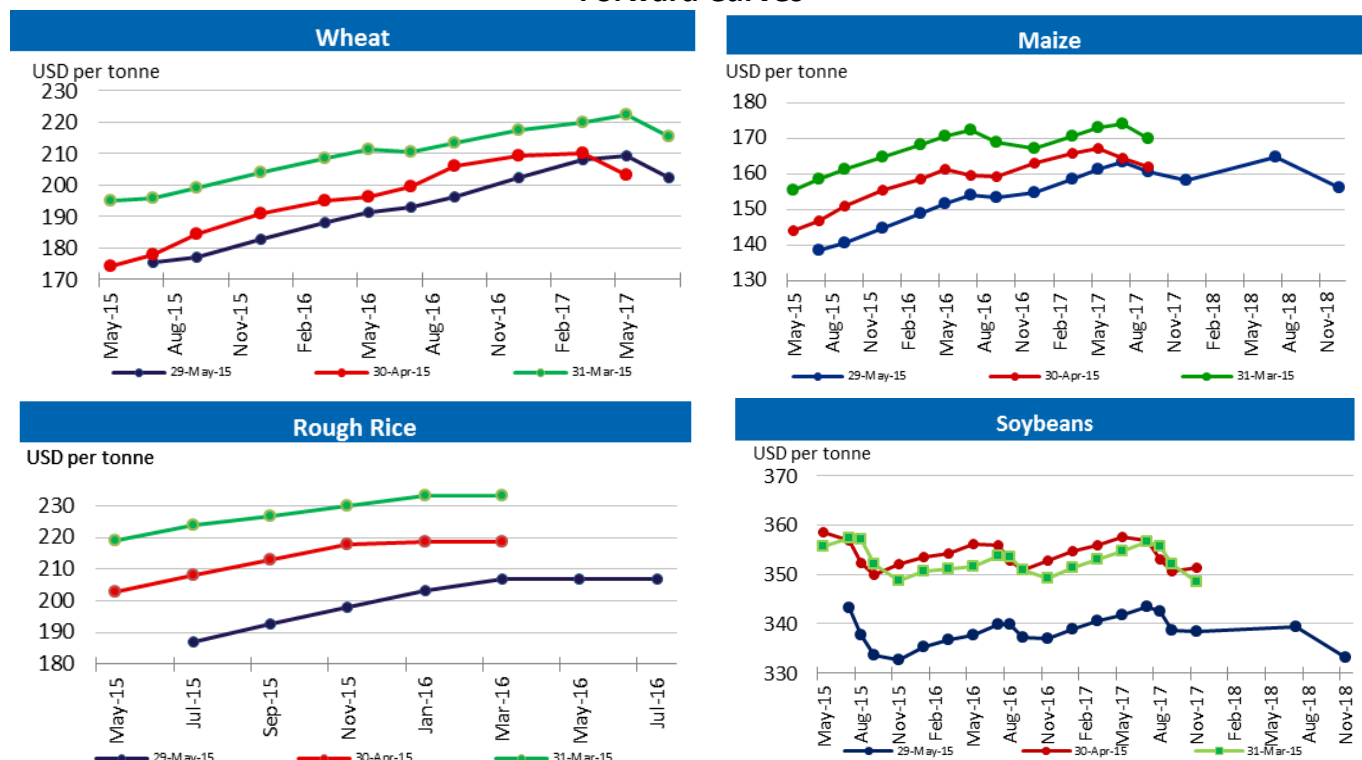


Soybeans

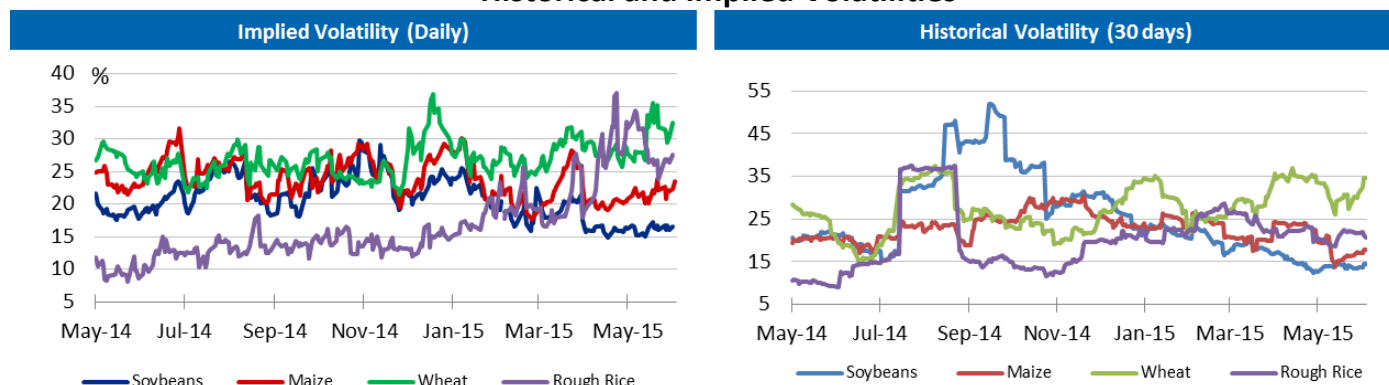


* Disaggregated Futures Only. Though not all positions are reflected in the charts, total long positions always equal total short positions.

Forward Curves



Historical and Implied Volatilities



Maize use for Ethanol in the US

Maize Use for Ethanol (excluding non-fuel) in the United States

	2006/07	2007/08	2008/09	2009/10	2010/11	2011/12	2012/13	2013/14.	2014/15 est	2015/16 f'cast*
	thousand tonnes									
Maize Production	267,503	331,177	307,142	332,550	316,166	313,956	273,188	351,270	361,101	346,216
Ethanol Use	53,837	77,453	93,396	116,616	127,538	127,005	117,886	130,409	132,085	132,085
Yearly ethanol use change (%)	32%	44%	21%	25%	9.4%	-0.4%	-7.2%	10.6%	1.3%	0.0%
As Production (%)	20%	23%	30%	35%	40.3%	40.5%	43.1%	37.1%	36.6%	38.2%

Source: WASDE-USDA. *12 May 2015

AMIS Market Indicators

Some of the indicators covered in this report are updated regularly on the AMIS website. These, as well as other market indicators, can be found at:

<http://www.amis-outlook.org/amis-monitoring/indicators/>

Explanatory Notes and Calendar

The notions of **tightening** and **easing** used in the summary table of “**World Supply and Demand**” reflect judgmental views which take into account market fundamentals, inter-alia price developments and short-term trends in demand and supply, especially changes in stocks.

All totals (aggregates) are computed from unrounded data. World supply and demand estimates/forecasts in this report are based on the latest data published by FAO, IGC and USDA; for the former, they also take into account information received from AMIS countries (hence the notion “**FAO-AMIS**”). World estimates and forecasts may vary due to several reasons. Apart from different release dates, the three main sources may apply different methodologies to construct the elements of the balances. Specifically:

Production: For wheat, production data refer to the first year of the marketing season shown (e.g. the 2014 production is allocated to the 2014/15 marketing season). For maize and rice, FAO-AMIS production data refer to the season corresponding to the first year shown, as for wheat. However, in the case of rice, 2014 production also includes secondary crops gathered in 2015. By contrast, for rice and maize, USDA and IGC aggregate production of the northern hemisphere of the first year (e.g. 2014) with production of the southern hemisphere of the second year (2015 production) in the corresponding 2014/15 global marketing season. For soybeans, this latter method is used by all three sources.

Supply: Defined as production plus opening stocks. No major differences across sources.

Utilization: For wheat, maize and rice, utilization includes food, feed and other uses (“other uses” comprise seeds, industrial utilization and post-harvest losses). For soybeans, it comprises crush, food and other uses. No major differences across sources.

Trade: Data refer to exports. For wheat and maize, trade is reported on a July/June marketing year basis, except for the USDA maize trade estimates, which are reported on an October/September basis. For rice, trade covers flows from January to December of the second year shown, and for soybeans from October to September. Trade between European Union member states is excluded.

Ending Stocks: In general, ending stocks refer to the sum of carry-overs at the close of each country’s national marketing year. In the case of maize and rice, in southern hemisphere countries the definition of the national marketing year is not the same across the three sources as it depends on the methodology chosen to allocate production. For Soybeans, the USDA world stock level is based on an aggregate of stock levels as of 31 August for all countries, coinciding with the end of the US marketing season. By contrast, the IGC and FAO-AMIS measure of world stocks is the sum of carry-overs at the close of each country’s national marketing year.

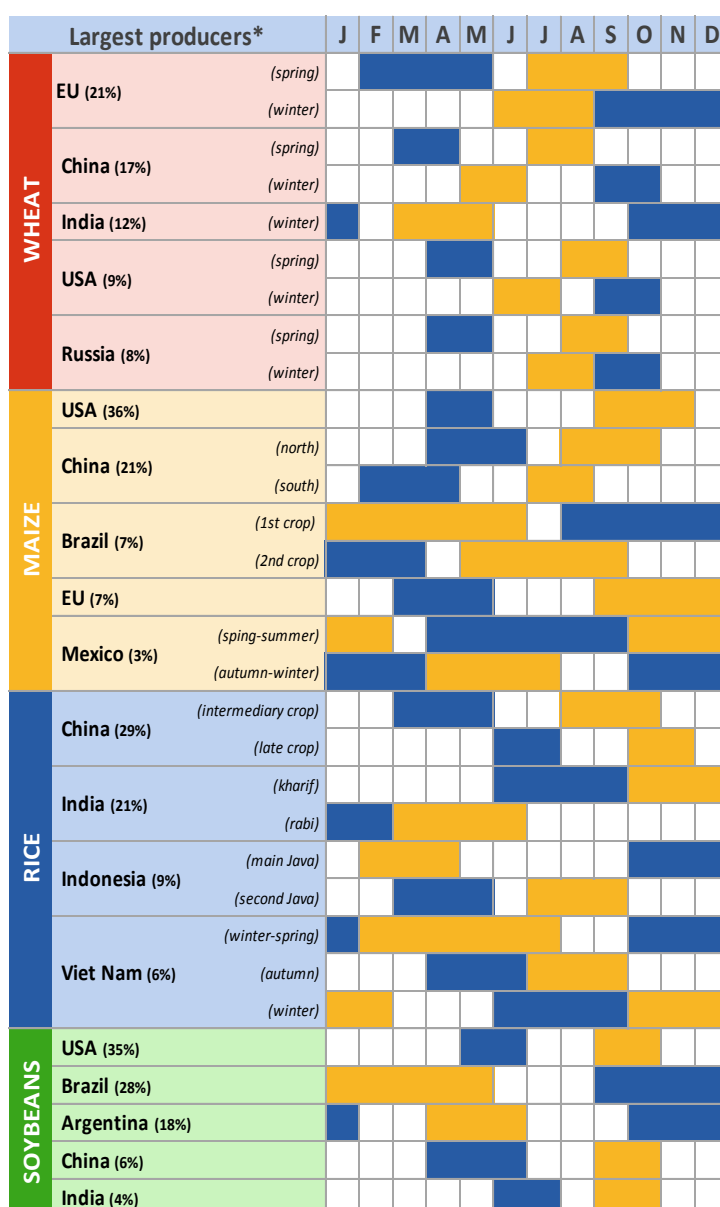
Main sources

Bloomberg, CFTC, CME Group, FAO, GEOGLAM, Inter-Continental Exchange, IGC, Reuters, USDA, US Federal Reserve, World Bank

2015 Release Dates

05 February, 05 March, 02 April, 07 May, 04 June, **09 July**, **10 September**, **08 October**, **05 November**, **03 December**

AMIS Crop Calendar



* The percentages refer to the global share of production (average 2008-12).

Planting Harvesting

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